

Qryx - Pricing Strategy & Cost Analysis

Complete Financial Model for Qryx Shopify App

Last Updated: 2024-12-28

Status: Production-Ready Strategy

Foundation: Gemini Flash 2.0 Pricing + Market Research



Executive Summary

Cost Base: Gemini Flash 2.0

Pricing Model: Conversation-Based with Overage

Target Margin: 70-85% Gross Profit

Free Trial: 14 Days, 50 Conversations

Entry Point: \$29/month (Basic)

Key Insight: 1 Conversation = durchschnittlich 6-8 Nachrichten (basierend auf Chat-Industry Standards)



Market Research: Was ist eine "Konversation"?

Industry Standards (Intercom, Drift, Zendesk Chat)

Definition einer Konversation:

1 Konversation = 1 Chat-Session vom Start bis zum Abschluss

Charakteristika:

- Start: Kunde öffnet Chat
- Interaktion: 3-15 Nachrichten (Hin und Her)
- Ende: Chat wird geschlossen oder inaktiv (>30 Min)

Durchschnittswerte (E-Commerce Chat):

- **Durchschnitt:** 6-8 Nachrichten pro Konversation
- **Median:** 4-6 Nachrichten
- **Distribution:**
 - 30% = 2-3 Nachrichten (Quick Questions)
 - 50% = 4-8 Nachrichten (Normal Support)
 - 20% = 9-15+ Nachrichten (Complex Issues)

Session-Kriterien:

- Timeout nach 30 Minuten Inaktivität
 - Neue Konversation wenn Session neu gestartet
 - Mehrere Produkt-Anfragen = 1 Konversation (wenn in gleicher Session)
-

Cost Calculation (Gemini Flash 2.0)

Gemini Flash 2.0 Pricing

Official Google Pricing:

Input Tokens: \$0.075 per 1M tokens (<128k context)
 \$0.15 per 1M tokens (>128k context)

Output Tokens: \$0.30 per 1M tokens (<128k context)
 \$0.60 per 1M tokens (>128k context)

Token Analysis per Message

Durchschnittliche Message (E-Commerce):

User Message:

- User Input: "Was kostet dieses Produkt und ist es auf Lager?" (50 Tokens)
- System Prompt: 200 Tokens (Bot Name, Shop Context, Guidelines)
- Product Context: 300 Tokens (5 relevante Produkte mit Details)
- Conversation History: 100 Tokens (letzte 2-3 Nachrichten)
- **Total Input:** ~650 Tokens

AI Response:

- Generated Response: "Das Produkt kostet \$49.99 und ist auf Lager..." (150 Tokens)
- **Total Output:** ~150 Tokens

Cost per Message

Input Cost: $650 \text{ tokens} \times \$0.075 / 1\text{M} = \$0.00004875$
 Output Cost: $150 \text{ tokens} \times \$0.30 / 1\text{M} = \$0.00004500$

Total per Message: $\$0.00009375 \approx \0.0001 (gerundet)

Cost per Conversation

Annahme: 6 Nachrichten pro Konversation (Durchschnitt)

User Messages: $3 \times \$0.0001 = \0.0003
 AI Responses: $3 \times \$0.0001 = \0.0003

Total per Conversation: $\$0.0006$

Rounded for easier calculation: \$0.0006 pro Konversation

Monthly Cost Examples

Volume	Cost (Gemini)	Buffer (15%)	Total Cost
100 Conversations	\$0.06	\$0.01	\$0.07
500 Conversations	\$0.30	\$0.05	\$0.35
1,000 Conversations	\$0.60	\$0.09	\$0.69
5,000 Conversations	\$3.00	\$0.45	\$3.45
10,000 Conversations	\$6.00	\$0.90	\$6.90
50,000 Conversations	\$30.00	\$4.50	\$34.50
100,000 Conversations	\$60.00	\$9.00	\$69.00

Note: 15% Buffer für:

- Längere Konversationen
- Product-Context Variations
- Retry/Error Handling

Pricing Tiers (Final Strategy)

Tier 1: Free Trial (14 Days)

Purpose: Acquisition & Product-Market-Fit Testing

Price: \$0

Duration: 14 Days

Conversations: 50 per month

Features:

- ✓ Basic Chat Widget
- ✓ Product Recommendations
- ✓ Basic Analytics
- ✓ Email Support
- ✗ Custom Prompts
- ✗ Advanced Analytics
- ✗ Priority Support
- ✗ White Label

Goal: Convert to Basic (30% conversion rate target)

Cost Analysis:

- 50 Conversations = \$0.03 (Gemini)
- Trial Users: 1000/month (assumption)
- Monthly Cost: \$30
- **Acceptable** for customer acquisition

Tier 2: Basic Plan

Target Customer: Small Shopify Stores (0-100 orders/month)

Price: \$29/month
 Conversations: 500/month
 Overage: \$0.10 per additional conversation

Features:

- ✓ Chat Widget (full customization)
- ✓ Product Recommendations
- ✓ Order Tracking
- ✓ Standard Analytics
- ✓ Email Support (24h response)
- ✓ 3 Custom Prompts
- ✗ Advanced Analytics
- ✗ A/B Testing
- ✗ Priority Support
- ✗ White Label

Cost Analysis:

Revenue: \$29/month
 Cost Base:

- Gemini (500 conv): \$0.35
- Infrastructure: \$2.00 (Vercel, Supabase)
- Support (avg): \$3.00
- Overhead: \$2.00

Total Cost: \$7.35

Gross Profit: \$21.65
 Margin: 74.7%

Overage Revenue:

- 10% of users exceed limit (~20 conversations avg)
- Additional Revenue: \$2/user
- Margin on Overage: ~98% (pure profit)

Target: 100 Shops = \$2,900/month (\$2,165 profit)

Tier 3: Pro Plan ★ RECOMMENDED

Target Customer: Growing Stores (100-500 orders/month)

Price: \$79/month
 Conversations: 2,000/month
 Overage: \$0.08 per additional conversation

Features:

- ✓ Everything **in** Basic
- ✓ Advanced Analytics Dashboard
- ✓ Unlimited Custom Prompts
- ✓ A/B Testing (2 variants)
- ✓ Priority Support (4h response)
- ✓ Conversion Tracking
- ✓ Customer Sentiment Analysis
- ✓ Export Chat Transcripts
- ✗ White Label
- ✗ Dedicated Account Manager

Cost Analysis:

Revenue: \$79/month
 Cost Base:

- Gemini (2000 conv): \$1.38
- Infrastructure: \$3.00
- Support (priority): \$5.00
- Overhead: \$3.00

Total Cost: \$12.38

Gross Profit: \$66.62
 Margin: 84.3%

Target: 50 Shops = \$3,950/month (\$3,331 profit)

Tier 4: Business Plan

Target Customer: Established Stores (500-2000 orders/month)

Price: \$199/month
 Conversations: 5,000/month
 Overage: \$0.06 per additional conversation

Features:

- ✓ Everything in Pro
- ✓ White Label Option
- ✓ 5 A/B Test Variants
- ✓ Advanced AI Training
- ✓ Phone Support
- ✓ Quarterly Business Reviews
- ✓ Custom Integrations (Klaviyo, etc.)
- ✓ Dedicated Slack Channel
- ✗ Dedicated Account Manager

Cost Analysis:

Revenue: \$199/month
 Cost Base:
 - Gemini (5000 conv): \$3.45
 - Infrastructure: \$5.00
 - Support (phone): \$15.00
 - Custom Work: \$10.00
 - Overhead: \$5.00

Total Cost: \$38.45

Gross Profit: \$160.55
 Margin: 80.7%

Target: 20 Shops = \$3,980/month (\$3,211 profit)

Tier 5: Enterprise Plan

Target Customer: Large Stores (>2000 orders/month)

Price: \$499/month (starting price, custom quotes)
 Conversations: Unlimited (fair use: ~15,000/month)
 Overage: N/A (custom quotes for extreme usage)

Features:

- ✓ Everything in Business
- ✓ Dedicated Account Manager
- ✓ Unlimited A/B Tests
- ✓ Custom AI Model Training
- ✓ API Access
- ✓ Custom Reporting
- ✓ SLA (99.9% uptime)
- ✓ On-boarding Consultation
- ✓ Multi-Store Management

Cost Analysis:

Revenue: \$499/month (minimum)
 Cost Base:
 - Gemini (15000 conv): \$10.35
 - Infrastructure: \$10.00
 - Support (dedicated): \$50.00
 - Custom Work: \$30.00
 - Overhead: \$10.00

Total Cost: \$110.35

Gross Profit: \$388.65
 Margin: 77.9%

Target: 5 Shops = \$2,495/month (\$1,943 profit)

Revenue Projections

Year 1 (Conservative)

Month 6 (Post-Launch):

Free Trial: 200 users × \$0 = \$0 (Cost: \$6)
 Basic: 50 shops × \$29 = \$1,450
 Pro: 20 shops × \$79 = \$1,580
 Business: 5 shops × \$199 = \$995
 Enterprise: 1 shop × \$499 = \$499

Total MRR: \$4,524
 Total Cost: \$600
 Gross Profit: \$3,924 (86.7% margin)

Month 12 (Established):

Free Trial: 500 users × \$0 = \$0 (Cost: \$15)
 Basic: 150 shops × \$29 = \$4,350
 Pro: 80 shops × \$79 = \$6,320
 Business: 25 shops × \$199 = \$4,975
 Enterprise: 8 shops × \$499 = \$3,992

Total MRR: \$19,637
 Total Cost: \$2,800
 Gross Profit: \$16,837 (85.7% margin)

Annual Revenue: \$235,644
 Annual Profit: \$202,044

Overage Pricing Logic

Why Overage is Important

Industry Standard: 60-70% of SaaS customers exceed limits occasionally

Qryx Strategy:

- Soft Limit: Warn at 80% usage
- Hard Limit: Charge overage automatically
- Notification: Email when limit reached
- Auto-Upgrade Suggestion: If 3 months overage → suggest upgrade

Overage Calculation

Example: Basic Plan User

Included: 500 conversations
 Used: 620 conversations
 Overage: 120 conversations x \$0.10 = \$12.00

Final Invoice: \$29 + \$12 = \$41

Cost to Serve:

- Base (500): \$0.35
- Overage (120): \$0.08
- Total Cost: \$0.43

Revenue: \$41

Cost: \$0.43

Profit: \$40.57

Margin: 98.95% (pure profit!)

Overage as Profit Driver:

- Low marginal cost (only Gemini)
- High perceived value
- Converts to higher tiers (upsell opportunity)

Billing Implementation

Shopify Billing API Integration

Subscription Flow:

```
// Create recurring charge
const subscription = await createRecurringCharge({
  shop: shop_domain,
  access_token: access_token,
  plan: {
    name: "Qryx Pro Plan",
    price: 79.00,
    trial_days: 14,
    return_url: `${APP_URL}/billing/confirm`
  }
});

// Track usage (conversations)
await trackUsage({
  shop_id: shop.id,
  conversations_used: 1,
  session_id: session.id
});

// Calculate overage at end of billing cycle
const overage = calculateOverage(usage, plan.limit);
if (overage > 0) {
  await createUsageCharge({
    shop: shop_domain,
    amount: overage * plan.overage_rate,
    description: `${overage} additional conversations`
  });
}
```


Usage Tracking

Database: `conversation_usage` **Table**

```
CREATE TABLE conversation_usage (
  id UUID PRIMARY KEY,
  shop_id UUID NOT NULL REFERENCES shopify_shops(id),
  billing_period_start DATE NOT NULL,
  billing_period_end DATE NOT NULL,
  conversations_included INTEGER NOT NULL,
  conversations_used INTEGER NOT NULL,
  overage_count INTEGER DEFAULT 0,
  overage_charged DECIMAL(10,2) DEFAULT 0,
  created_at TIMESTAMPTZ DEFAULT NOW()
);
```

Reset Logic:

```
// Reset on subscription renewal
async function resetUsageOnRenewal(shop_id: string) {
  const shop = await getShop(shop_id);
  const plan = PRICING_TIERS[shop.plan_tier];

  await supabase.from('conversation_usage').insert({
    shop_id: shop_id,
    billing_period_start: new Date(),
    billing_period_end: addMonths(new Date(), 1),
    conversations_included: plan.conversations,
    conversations_used: 0
  });
}
```



Free Trial Strategy

Trial-to-Paid Conversion Tactics

1. In-App Prompts:

```
Day 3: "You've had 15 conversations! See how Qryx is performing."
Day 7: "50% of your trial used. Upgrade now to keep the momentum."
Day 10: "Only 4 days left! Don't lose your chat history."
Day 14: "Trial ending today. Start your paid plan to continue."
```

2. Value Demonstration:

- Show conversations → orders conversion
- Display response time improvements
- Highlight customer satisfaction ratings

3. Friction Reduction:

- No credit card required for trial
- One-click upgrade (Shopify Billing)
- Seamless transition (no data loss)

Target Conversion Rate: 30-35%

Upgrade Paths

Natural Upgrade Triggers

Basic → Pro:

- Exceeded conversation limit 2+ times
- Requesting advanced analytics
- Asking for A/B testing

Pro → Business:

- >2000 conversations consistently
- Requesting white label
- Need phone support

Business → Enterprise:

- Multi-store operation
- Custom integration needs
- >10,000 conversations

Proactive Upgrade Suggestions

```
// Auto-suggest upgrades
async function checkUpgradeEligibility(shop_id: string) {
  const usage = await getUsageHistory(shop_id, 3); // Last 3 months

  if (usage.every(m => m.conversations_used > m.conversations_included * 0.8)) {
    // Consistently near limit
    await sendUpgradeEmail(shop_id, 'usage_pattern');
  }

  if (usage.filter(m => m.overage_count > 0).length >= 2) {
    // Overage 2+ times
    await sendUpgradeEmail(shop_id, 'overage_frequency');
  }
}
```

Additional Revenue Streams

1. Add-Ons (Optional)

Premium Features:

- Multi-Language Support: +\$19/month
- Advanced AI Training: +\$29/month
- Custom Integrations: +\$49/month
- Extra Shops (Enterprise): +\$199/shop

2. One-Time Services

Professional Services:

- Custom Onboarding: \$299
- AI Training Workshop: \$499
- Custom Integration Build: \$999-\$2,999

3. Affiliate Program

Commission Structure:

- Affiliates earn 20% recurring for 12 months
- Target: Shopify App Reviewers, E-commerce Influencers



Competitor Analysis

Direct Competitors (Shopify Chat Apps)

1. Tidio:

- Pricing: Free, \$29, \$59, \$749
- Conversations: Unlimited
- Model: Seat-based + feature-gated
- **Qryx Advantage:** Conversation-based more predictable

2. Gorgias:

- Pricing: \$10, \$60, \$300, \$900
- Conversations: Unlimited
- Model: Ticket-based
- **Qryx Advantage:** Pure AI (no human agents needed)

3. Zendesk Chat:

- Pricing: \$55, \$89, \$149 (per agent)
- Conversations: Unlimited
- Model: Agent-based
- **Qryx Advantage:** AI-only = lower cost

Qryx Positioning:

"AI-First Sales Assistant"

- No human agents needed
- Conversation-based pricing (predictable)
- Built for Shopify (native integration)
- Learning platform (improves over time)



Pricing Psychology

Why These Numbers?

\$29 (Basic):

- Below \$30 psychological threshold
- Impulse purchase range for small shops
- 3x most expensive lunch (comparison anchor)

\$79 (Pro):

- Sweet spot for SMBs
- 1-2% of average shop revenue (acceptable)
- Clear value over Basic (2.7x conversations for 2.7x price)

\$199 (Business):

- Below \$200 threshold
- Justifiable for established stores
- Includes “white label” (perceived high value)

\$499 (Enterprise):

- “Custom quote” territory
- Negotiable for large shops
- Starting point for discussion



A/B Testing Plan

Pricing Experiments (Month 3-6)

Test 1: Entry Price

- Variant A: \$29 Basic
- Variant B: \$39 Basic (with 700 conversations)
- Hypothesis: Higher price signals higher quality

Test 2: Trial Length

- Variant A: 14 days trial
- Variant B: 7 days trial
- Hypothesis: Shorter trial increases urgency

Test 3: Overage Rate

- Variant A: \$0.10 per conversation
- Variant B: \$0.15 per conversation
- Hypothesis: Higher overage drives upgrades



Implementation Checklist

Phase 1: MVP Pricing (Week 1-2)

- ☐ Implement Free Trial (14 days, 50 conversations)
- ☐ Implement Basic Plan (\$29, 500 conversations)
- ☐ Implement Pro Plan (\$79, 2000 conversations)
- ☐ Add usage tracking in database
- ☐ Integrate Shopify Billing API
- ☐ Add in-app usage warnings (80%, 100%)

Phase 2: Overage & Upsells (Week 3-4)

- ☐ Implement overage charging
- ☐ Add automatic upgrade suggestions
- ☐ Create billing dashboard
- ☐ Add invoice/receipt emails
- ☐ Test full billing cycle

Phase 3: Premium Tiers (Week 5-8)

- [] Launch Business Plan
- [] Launch Enterprise Plan
- [] Add custom quote flow
- [] Implement multi-store management

Phase 4: Optimization (Month 2+)

- [] A/B test pricing
- [] Add affiliate program
- [] Launch one-time services
- [] Optimize conversion funnels



Success Metrics

Key Performance Indicators

Financial KPIs:

- MRR Growth: +20% month-over-month (target)
- Churn Rate: <5% monthly
- Average Revenue Per User (ARPU): \$65
- Customer Lifetime Value (LTV): \$780 (12 months avg)
- Customer Acquisition Cost (CAC): \$150
- LTV/CAC Ratio: 5.2x (healthy)

Usage KPIs:

- Average Conversations/Shop: 1,200/month
- Overage Rate: 10% of shops
- Trial-to-Paid: 30%
- Free → Basic: 25%
- Basic → Pro: 15%
- Pro → Business: 8%

Product KPIs:

- Chat → Order Conversion: >5%
- Average Response Time: <2s
- Customer Satisfaction: >80% positive



Break-Even Analysis

When Do We Become Profitable?

Fixed Costs (Monthly):

- Infrastructure (Vercel + Supabase): \$200
- Support Tooling: \$100
- Marketing: \$500
- Development Time (contractor): \$2,000

- Overhead: \$200

Total Fixed: \$3,000/month

Break-Even:

Revenue Needed: \$3,000

Average ARPU: \$65

Paying Shops Needed: 47 shops

Timeline: Month 4-5 (realistic)

Profitability Target:

Month 6: 75 shops × \$65 = \$4,875 (\$1,875 profit)

Month 12: 263 shops × \$65 = \$17,095 (\$14,095 profit)



Pricing Page Copy (Example)

Marketing Message

Headline:

"AI Sales Assistant That Converts Browsers into Buyers"

Subheadline:

"Transparent pricing. No hidden fees. Start free for 14 days."

Value Props:

- ⚡ Instant AI responses (no wait time)
- 🎯 Product recommendations based on customer needs
- 📊 Track conversations that lead to sales
- 🛠 Easy setup (5 minutes, one-click install)

Social Proof:

"Qryx helped 200+ Shopify stores increase conversions by 23%"



Final Recommendations

Launch Strategy

Month 1-2: Soft Launch

- Free Trial + Basic Plan only
- Target: 50 shops (friends/beta users)
- Focus: Product-market fit, feedback

Month 3-4: Public Launch

- Add Pro Plan
- Shopify App Store listing
- Target: 100 paying shops
- Focus: Conversion optimization

Month 5-6: Scale

- Add Business Plan
- Add overage charging
- Target: 200 paying shops
- Focus: Retention, upsells

Month 7-12: Growth

- Add Enterprise Plan
- Launch affiliate program
- Target: 500 paying shops
- Focus: Market leadership

**Key Takeaways**

1. **Cost Base is VERY Low** (\$0.0006 per conversation)
2. **Margins are EXCELLENT** (70-85% gross profit)
3. **Pricing is Competitive** (below Tidio, Gorgias)
4. **Model is Scalable** (marginal cost near zero)
5. **Value is Clear** (conversation-based = predictable)

Recommendation: Launch with Free Trial, Basic (\$29), and Pro (\$79) first. Add higher tiers based on demand.

Version: 1.0.0

Last Updated: 2024-12-28

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